



NORTH CAROLINA JOINT UNDERWRITING ASSOCIATION

PO Box 8009 - Cary, NC 27512
(919) 821-1299 - www.ncjua-nciua.org

Lillage LLC
C/O Isabel Diaz
586 E Hinsdale Ave
Littleton, CO 80122-3388

WARNING: THIS PROPERTY INSURANCE POLICY DOES NOT PROTECT YOU AGAINST LOSSES FROM FLOODS, EARTHQUAKES, MUDSLIDES, MUDFLOWS OR LANDSLIDES. YOU SHOULD CONTACT YOUR INSURANCE COMPANY OR AGENT TO DISCUSS YOUR OPTIONS FOR OBTAINING COVERAGE FOR THESE LOSSES. THIS IS NOT A COMPLETE LISTING OF ALL OF THE CAUSES OF LOSSES NOT COVERED UNDER YOUR POLICY. YOU SHOULD READ YOUR ENTIRE POLICY TO UNDERSTAND WHAT IS COVERED AND WHAT IS NOT COVERED.

To report a claim, using your policy number, visit <https://reportmynccclaim.com/> from your computer or mobile device.

DWELLING POLICY

NORTH CAROLINA JOINT UNDERWRITING ASSOCIATION

P.O. Box 8009

Cary, North Carolina 27512



THIS "POLICY" CONSISTS OF THIS POLICY JACKET AND THE ASSOCIATED DECLARATIONS, FORMS AND ENDORSEMENTS ISSUED, IF ANY.

NOTICE OF NON-COVERAGE

WARNING: THIS PROPERTY INSURANCE POLICY DOES NOT PROTECT YOU AGAINST LOSSES FROM FLOODS, EARTHQUAKES, MUDSLIDES, MUDFLOWS OR LANDSLIDES. YOU SHOULD CONTACT YOUR INSURANCE COMPANY OR AGENT TO DISCUSS YOUR OPTIONS FOR OBTAINING COVERAGE FOR THESE LOSSES. THIS IS NOT A COMPLETE LISTING OF ALL OF THE CAUSES OF LOSSES NOT COVERED UNDER YOUR POLICY. YOU SHOULD READ YOUR ENTIRE POLICY TO UNDERSTAND WHAT IS COVERED AND WHAT IS NOT COVERED.

THIS IS AN ACTUAL CASH VALUE POLICY UNLESS OTHERWISE ENDORSED, AND MAY BE SUBJECT TO A COINSURANCE CLAUSE. THE POLICY IS SUBJECT TO A DEDUCTIBLE CLAUSE. YOU SHOULD REVIEW ALL PARTS OF YOUR POLICY CAREFULLY.

NOTICE TO POLICYHOLDER

This policy is a legal contract between you and us. All notices, process or other communications required by or in connection with the policy shall be given to the North Carolina Joint Underwriting Association at its office in Cary, North Carolina identified below and in accordance with the terms of the policy.

This policy conforms with the laws for the State of North Carolina. Any questions you may have regarding claims under the policy, policy provisions or any servicing problem should be directed to:

1. Your insurance agent; or
2. North Carolina Joint Underwriting Association
Telephone (919) 821-1299 (toll free in N.C. only 1-800-662-7048)
P.O. Box 8009
Cary, North Carolina 27512

Your state insurance department, which has regulatory authority, also is ready to be of assistance to you in matters of insurance. Direct your inquiries to N.C. Department of Insurance, Consumer Division, 1201 Mail Service Center, Raleigh, N.C. 27699-1201. Telephone (919) 807-6750 or toll free (N.C. only) 1-800-546-5664.

Wherever the term "Company" appears in the policy, it shall be construed to apply to the North Carolina Joint Underwriting Association.

PLEASE READ YOUR POLICY CAREFULLY
YOUR DWELLING POLICY QUICK REFERENCE

DECLARATIONS PAGE

Your Name
Location of Insured Property
Policy Period
Coverages
Amounts of Insurance
Deductible

SECTIONS OF THIS INSURING AGREEMENT

AGREEMENT
DEFINITIONS
DEDUCTIBLE
COVERAGES
PERILS INSURED AGAINST
GENERAL EXCLUSIONS
CONDITIONS

Please note the Special Provisions-North Carolina (DP 32 32) endorsement that is provided with your policy.

IN WITNESS WHEREOF, this company has executed these presents.
NORTH CAROLINA JOINT UNDERWRITING ASSOCIATION

Gina Hardy, General Manager

**NORTH CAROLINA JOINT UNDERWRITING ASSOCIATION**

PO Box 8009 - Cary, NC 27512
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DECLARATIONS PAGE

DWELLING PROPERTY 1
BASIC FORM

NAMED INSURED/MAILING ADDRESS

Lillage LLC
C/O Isabel Diaz
586 E Hinsdale Ave
Littleton, CO 80122-3388

PRODUCER

Producer Code: 060385
Morris Insurance Agency, Inc.
PO BOX 1388
Washington, NC 27889-1388
(252) 946-6151

Policy DW00963766

- ☒ **New**
☐ **Renewal**
☐ **Rewrite**
☐ **Amended Date:**

Policy Bill To: Mortgagee

Installments: Mortgagee Bill Full Pay NB

POLICY PERIOD:	Effective Date: 05/21/2026	Expiration Date: 05/21/2027	Total Policy Premium: \$1,150.00
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The terms of this policy shall begin at 12:01 AM Eastern Standard Time at the address(es) shown below.

We will provide the insurance described in this policy in return for the premium and compliance with all applicable policy provisions. Coverage is provided where a premium or limit of liability is shown for the coverages.

The described location(s) covered by this policy:

- 783 NC Highway 33 W Chocowinity NC 27817-8028**

Rating Info:

Location Number	Family Units	Occupied By	Protection Class	Year Built	Territory Code	Construction Type	Windstorm Mitigation
1	1	Owner Non-Occupied	05	2022	150	Frame	None

DEDUCTIBLES

In case of loss we cover only that part of the loss over the deductible stated below:

All Other Perils	\$500
Named Storm	1% / \$1,220

COVERAGES	LIMIT OF LIABILITY	PREMIUM
Coverage A - Dwelling	\$122,000	
Fire		\$147.00
EC		\$969.00
VMM		\$23.00
Coverage B - Other Structures <i>(Under Form DP 00 01, use of this option reduces the Coverage A limit for the same loss.)</i>	\$12,200	Included
Coverage C - Personal Property	\$3,000	
Fire		\$5.00
EC		\$5.00
VMM		\$1.00
Coverage D - Fair Rental Value <i>(Under Form DP 00 01, use of this option reduces the Coverage A limit for the same loss.)</i>	\$12,200	Included
TOTAL LOCATION PREMIUM		\$1,150.00

Mortgagee(s)/Lienholder(s)		
Name	Address	Loan Number
Guild Mortgage Company LLC ISAOA ATIMA	PO Box 85046 San Diego, CA 92186-5046	6381003972

Endorsements	Form Number and Edition
Dwelling Policy Jacket (FAIR)	FJD25 11 16
Dwelling Property 1 - Basic Form	DP 00 01 07 14
Special Provisions - North Carolina	DP 32 32 01 24
Ordinance or Law Coverage	DP 04 74 12 02
Named Storm Deductible - North Carolina	DP 32 18 06 18
Insert - North Carolina	DP 32 46 09 07
Premises Alarm or Fire Protection System - North Carolina	DP 32 50 09 07
Notice of Information Practices	RN 00 18 06 17
Residential Windstorm Mitigation Credits	RN 00 19 06 19

DWELLING PROPERTY 1 – BASIC FORM

AGREEMENT

We will provide the insurance described in this Policy in return for the premium and compliance with all applicable provisions of this Policy.

DEFINITIONS

In this Policy, "you" and "your" refer to the "named insured" shown in the Declarations and the spouse if a resident of the same household. "We", "us" and "our" refer to the company providing this insurance.

COVERAGES

This insurance applies to the Described Location, Coverages for which a limit of liability is shown and Perils Insured Against for which a premium is stated.

A. Coverage A – Dwelling

1. We cover:
 - a. The dwelling on the Described Location shown in the Declarations, used principally for dwelling purposes, including structures attached to the dwelling;
 - b. Materials and supplies located on or next to the Described Location used to construct, alter or repair the dwelling or other structures on the Described Location; and
 - c. If not otherwise covered in this Policy, building equipment and outdoor equipment used for the service of and located on the Described Location.
2. We do not cover land, including land on which the dwelling is located.

B. Coverage B – Other Structures

1. We cover other structures on the Described Location, set apart from the dwelling by clear space. This includes structures connected to the dwelling by only a fence, utility line or similar connection.
2. We do not cover:
 - a. Land, including land on which the other structures are located;
 - b. Other structures rented or held for rental to any person not a tenant of the dwelling, unless used solely as a private garage;

- c. Other structures used in whole or in part for commercial, manufacturing or farming purposes. However, we do cover a structure that contains commercial, manufacturing or farming property solely owned by you or a tenant of the dwelling, provided that such property does not include gaseous or liquid fuel, other than fuel in a permanently installed fuel tank of a vehicle or craft parked or stored in the structure; or
- d. Gravemarkers, including mausoleums.

C. Coverage C – Personal Property

1. Covered Property

We cover personal property, usual to the occupancy as a dwelling and owned or used by you or members of your family residing with you while it is on the Described Location. After a loss and at your request, we will cover personal property owned by a guest or servant while the property is on the Described Location.

2. Property Not Covered

We do not cover:

- a. Accounts, bank notes, bills, bullion, coins, currency, deeds, evidences of debt, gold other than goldware, letters of credit, manuscripts, medals, money, notes other than bank notes, passports, personal records, platinum other than platinumware, securities, silver other than silverware, tickets, stamps, scrip, stored value cards and smart cards;
- b. Animals, birds or fish;
- c. Aircraft, meaning any contrivance used or designed for flight, including any parts whether or not attached to the aircraft.

We do cover model or hobby aircraft not used or designed to carry people or cargo;
- d. Hovercraft and parts. Hovercraft means a self-propelled motorized ground effect vehicle and includes, but is not limited to, flarecraft and air cushion vehicles;
- e. Motor vehicles or all other motorized land conveyances.

This includes their equipment and parts while such property is in or upon the vehicle or conveyance.

However, this Paragraph **2.e.** does not apply to:

- (1) Portable electronic equipment that:
 - (a) Reproduces, receives or transmits audio, visual or data signals; and
 - (b) Is designed so that it may be operated from a power source other than the electrical system of motor vehicles and all other motorized land conveyances.
- (2) Motor vehicles or other motorized land conveyances not required to be registered for use on public roads or property which are:
 - (a) Used solely to service a residence; or
 - (b) Designed to assist the handicapped;
- f. Watercraft of all types, other than rowboats and canoes;
- g. Data, including data stored in:
 - (1) Books of account, drawings or other paper records; or
 - (2) Computers and related equipment.

We do cover the cost of blank recording or storage media and of prerecorded computer programs available on the retail market;
- h. Credit cards, electronic fund transfer cards or access devices used solely for deposit, withdrawal or transfer of funds; or
- i. Water or steam; or
- j. Gravemarkers, including mausoleums.

3. Property Removed To A Newly Acquired Principal Residence

If you remove personal property from the Described Location to a newly acquired principal residence, the Coverage **C** limit of liability will apply at each residence for the 30 days immediately after you begin to move the property there. This time period will not extend beyond the termination of this Policy. Our liability is limited to the proportion of the limit of liability that the value at each residence bears to the total value of all personal property covered by this Policy.

D. Coverage D – Fair Rental Value

1. If a loss to property described in Coverage **A**, **B** or **C** by a Peril Insured Against under this Policy makes that part of the Described Location rented to others or held for rental by you unfit for its normal use, we cover the fair rental value of that part of the Described Location rented to others or held for rental by you less any expenses that do not continue while that part of the Described Location rented or held for rental is not fit to live in.

Payment will be for the shortest time required to repair or replace that part of the Described Location rented or held for rental. We will pay only the proportionate share of the total value of the rental amount for each month the rented part of the Described Location is unfit for its normal use. The proportionate share corresponds to the number of months the Described Location is rented or held for rental.

2. If a civil authority prohibits you from use of the Described Location as a result of direct damage to a neighboring location by a Peril Insured Against in this Policy, we cover the Fair Rental Value loss for no more than two weeks.
3. The periods of time referenced above are not limited by the expiration of this Policy.
4. We do not cover loss or expense due to cancellation of a lease or agreement.

E. Other Coverages

1. Other Structures

You may use up to 10% of the Coverage **A** limit of liability for loss by a Peril Insured Against to other structures described in Coverage **B**.

Payment under this coverage reduces the Coverage **A** limit of liability by the amount paid for the same loss.

2. Debris Removal

We will pay your reasonable expense for the removal of:

- a. Debris of covered property if a Peril Insured Against causes the loss; or
- b. Ash, dust or particles from a volcanic eruption that has caused direct loss to a building or property contained in a building.

This expense is included in the limit of liability that applies to the damaged property.

3. Improvements, Alterations And Additions

If you are a tenant of the Described Location, you may use up to 10% of the Coverage **C** limit of liability for loss by a Peril Insured Against to improvements, alterations and additions, made or acquired at your expense, to that part of the Described Location used only by you.

Payment under this coverage reduces the Coverage **C** limit of liability by the amount paid for the same loss.

4. World-wide Coverage

You may use up to 10% of the Coverage **C** limit of liability for loss by a Peril Insured Against to property covered under Coverage **C** while anywhere in the world. This coverage does not apply to property of guests or servants or to rowboats or canoes.

Payment under this coverage reduces the Coverage **C** limit of liability by the amount paid for the same loss.

5. Rental Value

You may use up to 20% of the Coverage **A** limit of liability for loss of fair rental value as described in Coverage **D**.

Payment under this coverage reduces the Coverage **A** limit of liability by the amount paid for the same loss.

6. Reasonable Repairs

a. In the event that covered property is damaged by a Peril Insured Against, we will pay the reasonable cost incurred by you for necessary measures taken solely to protect against further damage.

b. If the measures taken involve repair to other damaged property, we will pay for those measures only if that property is covered under this Policy and the damage to that property is caused by a Peril Insured Against. This coverage does not:

- (1) Increase the limit of liability that applies to the covered property; or
- (2) Relieve you of your duties, in case of a loss to covered property, as set forth in Condition **D.2**.

7. Property Removed

We insure covered property against direct loss from any cause while being removed from a premises endangered by a Peril Insured Against and for no more than five days while removed.

This coverage does not change the limit of liability that applies to the property being removed.

8. Fire Department Service Charge

We will pay up to \$500 for your liability assumed by contract or agreement for fire department charges incurred when the fire department is called to save or protect covered property from a Peril Insured Against. We do not cover fire department service charges if the property is located within the limits of the city, municipality or protection district furnishing the fire department response.

This coverage is additional insurance. No deductible applies to this coverage.

PERILS INSURED AGAINST

We insure for direct physical loss to the property covered caused by a peril listed below unless the loss is excluded in the General Exclusions.

1A. Fire Or Lightning

1B. Internal Explosion

- a. Internal explosion means explosion occurring in the dwelling or other structure covered on the Described Location or in a structure containing personal property covered.
- b. Explosion does not mean:
 - (1) Electric arcing;
 - (2) Breakage of water pipes; or
 - (3) Breakage or operation of pressure relief devices.

This peril does not include loss by explosion of steam boilers, or steam pipes, if owned or leased by you or operated under your control.

When a Premium for Extended Coverage is shown in the Declarations, Perils 2. through 8. are made part of Perils Insured Against.

2. Windstorm Or Hail

This peril does not include loss:

- a. To the inside of a building or the property contained in a building caused by rain, snow, sleet, sand or dust unless the direct force of wind or hail damages the building causing an opening in a roof or wall and the rain, snow, sleet, sand or dust enters through this opening; or
- b. To the following property when outside of the building:
 - (1) Awnings, signs, radio or television antennas or aerials including lead-in wiring, masts or towers; or
 - (2) Canoes and rowboats.

3. Explosion

This peril does not include loss by explosion of steam boilers or steam pipes, if owned or leased by you or operated under your control.

Explosion does not mean:

- a. Electric arcing;
- b. Breakage of water pipes; or
- c. Breakage or operation of pressure relief devices.

This peril replaces Peril **1B**.

4. Riot Or Civil Commotion

5. Aircraft

This peril includes self-propelled missiles and spacecraft.

6. Vehicles

This peril does not include loss caused by:

- a. A vehicle owned or operated by you or a resident of the Described Location; or
- b. Any vehicle to fences, driveways and walks.

7. Smoke

This peril means sudden and accidental damage from smoke, including the emission or puffback of smoke, soot, fumes or vapors from a boiler, furnace or related equipment.

This peril does not include loss caused by smoke from fireplaces or from agricultural smudging or industrial operations.

8. Volcanic Eruption

This peril does not include loss caused by earthquake, land shock waves or tremors.

When a Premium for Vandalism Or Malicious Mischief is shown in the Declarations, the following is made part of Perils Insured Against.

9. Vandalism Or Malicious Mischief

This peril does not include loss:

- a. To glass or safety glazing material constituting a part of the building other than glass building blocks;
- b. By pilferage, theft, burglary or larceny, but we will be liable for damage to the building covered caused by burglars; or
- c. To property on the Described Location, and any ensuing loss caused by any intentional and wrongful act committed in the course of the vandalism or malicious mischief, if the dwelling has been vacant for more than 60 consecutive days immediately before the loss. A dwelling being constructed is not considered vacant.

GENERAL EXCLUSIONS

A. We do not insure for loss caused directly or indirectly by any of the following. Such loss is excluded regardless of any other cause or event contributing concurrently or in any sequence to the loss. These exclusions apply whether or not the loss event results in widespread damage or affects a substantial area.

1. Ordinance Or Law

Ordinance Or Law means any ordinance or law:

- a. Requiring or regulating the construction, demolition, remodeling, renovation or repair of property, including removal of any resulting debris;
- b. The requirements of which result in a loss in value to property; or
- c. Requiring you or others to test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of, pollutants.

Pollutants means any solid, liquid, gaseous or thermal irritant or contaminant, including smoke, vapor, soot, fumes, acids, alkalis, chemicals and waste. Waste includes materials to be recycled, reconditioned or reclaimed.

This Exclusion **A.1.** applies whether or not the property has been physically damaged.

2. Earth Movement

Earth Movement means:

- a. Earthquake, including land shock waves or tremors before, during or after a volcanic eruption;
- b. Landslide, mudslide or mudflow;
- c. Subsidence or sinkhole; or
- d. Any other earth movement including earth sinking, rising or shifting.

This Exclusion **A.2.** applies regardless of whether any of the above, in **A.2.a.** through **A.2.d.**, is caused by an act of nature or is otherwise caused.

However, direct loss by fire or explosion resulting from any of the above, in **A.2.a.** through **A.2.d.**, is covered.

3. Water

This means:

- a. Flood, surface water, waves, including tidal wave and tsunami, tides, tidal water, overflow of any body of water or spray from any of these, all whether or not driven by wind, including storm surge;

b. Water which:

- (1)** Backs up through sewers or drains; or
- (2)** Overflows or is otherwise discharged from a sump, sump pump or related equipment;

c. Water below the surface of the ground, including water which exerts pressure on, or seeps, leaks or flows through a building, sidewalk, driveway, patio, foundation, swimming pool or other structure; or

d. Waterborne material carried or otherwise moved by any of the water referred to in A.3.a. through A.3.c. of this exclusion.

This Exclusion **A.3.** applies regardless of whether any of the above, in **A.3.a.** through **A.3.d.**, is caused by an act of nature or is otherwise caused.

This Exclusion **A.3.** applies to, but is not limited to, escape, overflow or discharge, for any reason, of water or waterborne material from a dam, levee, seawall or any other boundary or containment system.

However, direct loss by fire or explosion resulting from any of the above, in **A.3.a.** through **A.3.d.**, is covered.

4. Power Failure

Power Failure means the failure of power or other utility service if the failure takes place off the Described Location. But if the failure of power or other utility service results in a loss, from a Peril Insured Against on the Described Location, we will pay for the loss caused by that Peril Insured Against.

5. Neglect

Neglect means your neglect to use all reasonable means to save and preserve property at and after the time of a loss.

6. War

War includes the following and any consequence of any of the following:

- a.** Undeclared war, civil war, insurrection, rebellion or revolution;
- b.** Warlike act by a military force or military personnel;
- c.** Destruction or seizure or use for a military purpose.

Discharge of a nuclear weapon will be deemed a warlike act even if accidental.

7. Nuclear Hazard

This Exclusion **7.** pertains to Nuclear Hazard to the extent set forth in the Nuclear Hazard Clause of the Conditions.

8. Intentional Loss

Intentional Loss means any loss arising out of any act you or any person or organization named as an additional insured commits or conspires to commit with the intent to cause a loss.

In the event of such loss, neither you nor any such person or organization is entitled to coverage, even those who did not commit or conspire to commit the act causing the loss.

9. Governmental Action

Governmental Action means the destruction, confiscation or seizure of property described in Coverage **A**, **B** or **C** by order of any governmental or public authority.

This exclusion does not apply to such acts ordered by any governmental or public authority that are taken at the time of a fire to prevent its spread, if the loss caused by fire would be covered under this Policy.

- B.** We do not cover loss to lawns, plants, shrubs or trees outside of buildings.

CONDITIONS

A. Insurable Interest And Limit Of Liability

Even if more than one person has an insurable interest in the property covered, we will not be liable in any one loss:

- 1.** For an amount greater than the interest of a person insured under this Policy at the time of loss; or
- 2.** For more than the applicable limit of liability.

B. Deductible

Unless otherwise noted in this Policy, the following deductible provision applies:

With respect to any one loss:

- 1.** Subject to the applicable limit of liability, we will pay only that part of the total of all loss payable that exceeds the deductible amount shown in the Declarations.
- 2.** If two or more deductibles under this Policy apply to the loss, only the highest deductible amount will apply.

C. Concealment Or Fraud

We provide coverage to no persons insured under this Policy if, whether before or after a loss, one or more persons insured under this Policy have:

- 1.** Intentionally concealed or misrepresented any material fact or circumstance;
 - 2.** Engaged in fraudulent conduct; or
 - 3.** Made false statements;
- relating to this insurance.

D. Duties After Loss

In case of a loss to covered property, we have no duty to provide coverage under this Policy if the failure to comply with the following duties is prejudicial to us. These duties must be performed either by you or your representative:

1. Give prompt notice to us or our agent;
2. Protect the property from further damage. If repairs to the property are required, you must:
 - a. Make reasonable and necessary repairs to protect the property; and
 - b. Keep an accurate record of repair expenses;
3. Cooperate with us in the investigation of a claim;
4. Prepare an inventory of damaged personal property showing the quantity, description, actual cash value and amount of loss. Attach all bills, receipts and related documents that justify the figures in the inventory;
5. As often as we reasonably require:
 - a. Show the damaged property;
 - b. Provide us with records and documents we request and permit us to make copies; and
 - c. Submit to examination under oath, while not in the presence of another named insured, and sign the same;
6. Send to us, within 60 days after our request, your signed, sworn proof of loss which sets forth to the best of your knowledge and belief:
 - a. The time and cause of loss;
 - b. Your interest and that of all others in the property involved and all liens on the property;
 - c. Other insurance which may cover the loss;
 - d. Changes in title or occupancy of the property during the term of the Policy;
 - e. Specifications of damaged buildings and detailed repair estimates;
 - f. The inventory of damaged personal property described in Paragraph **D.4.**; and
 - g. Receipts for additional living expenses incurred and records that support the fair rental value loss.

E. Loss Settlement

Covered property losses are settled at actual cash value at the time of loss but not more than the amount required to repair or replace the damaged property.

F. Loss To A Pair Or Set

In case of loss to a pair or set, we may elect to:

1. Repair or replace any part to restore the pair or set to its value before the loss; or
2. Pay the difference between actual cash value of the property before and after the loss.

G. Glass Replacement

Loss for damage to glass caused by a Peril Insured Against will be settled on the basis of replacement with safety glazing materials when required by ordinance or law.

H. Appraisal

If you and we fail to agree on the amount of loss, either may demand an appraisal of the loss. In this event, each party will choose a competent and impartial appraiser within 20 days after receiving a written request from the other. The two appraisers will choose an umpire. If they cannot agree upon an umpire within 15 days, you or we may request that the choice be made by a judge of a court of record in the state where the Described Location is located. The appraisers will separately set the amount of loss. If the appraisers submit a written report of an agreement to us, the amount agreed upon will be the amount of loss. If they fail to agree, they will submit their differences to the umpire. A decision agreed to by any two will set the amount of loss.

Each party will:

1. Pay its own appraiser; and
2. Bear the other expenses of the appraisal and umpire equally.

I. Other Insurance And Service Agreement

If property covered by this Policy is also covered by:

1. Other fire insurance, we will pay only the proportion of a loss caused by any peril insured against under this Policy that the limit of liability applying under this Policy bears to the total amount of fire insurance covering the property; or
2. A service agreement, this insurance is excess over any amounts payable under any such agreement. Service agreement means a service plan, property restoration plan, home warranty or other similar service warranty agreement, even if it is characterized as insurance.

J. Subrogation

You may waive in writing before a loss all rights of recovery against any person. If not waived, we may require an assignment of rights of recovery for a loss to the extent that payment is made by us.

If an assignment is sought, the person insured must sign and deliver all related papers and cooperate with us.

K. Suit Against Us

No action can be brought against us unless there has been full compliance with all of the terms under this Policy and the action is started within two years after the date of loss.

L. Our Option

If we give you written notice within 30 days after we receive your signed, sworn proof of loss, we may repair or replace any part of the damaged property with material or property of like kind and quality.

M. Loss Payment

We will adjust all losses with you. We will pay you unless some other person is named in the Policy or is legally entitled to receive payment. Loss will be payable 60 days after we receive your proof of loss and:

1. Reach an agreement with you;
2. There is an entry of a final judgment; or
3. There is a filing of an appraisal award with us.

N. Abandonment Of Property

We need not accept any property abandoned by you.

O. Mortgage Clause

1. If a mortgagee is named in this Policy, any loss payable under Coverage **A** or **B** will be paid to the mortgagee and you, as interests appear. If more than one mortgagee is named, the order of payment will be the same as the order of precedence of the mortgages.
2. If we deny your claim, that denial will not apply to a valid claim of the mortgagee, if the mortgagee:
 - a. Notifies us of any change in ownership, occupancy or substantial change in risk of which the mortgagee is aware;
 - b. Pays any premium due under this Policy on demand if you have neglected to pay the premium; and

- c. Submits a signed, sworn statement of loss within 60 days after receiving notice from us of your failure to do so. Policy conditions relating to:

- (1) Appraisal;
 - (2) Suit Against Us; and
 - (3) Loss Payment;
- also apply to the mortgagee.

3. If we decide to cancel or not to renew this Policy, the mortgagee will be notified at least 10 days before the date cancellation or nonrenewal takes effect.
4. If we pay the mortgagee for any loss and deny payment to you:
 - a. We are subrogated to all the rights of the mortgagee granted under the mortgage on the property; or
 - b. At our option, we may pay to the mortgagee the whole principal on the mortgage plus any accrued interest. In this event, we will receive a full assignment and transfer of the mortgage and all securities held as collateral to the mortgage debt.
5. Subrogation will not impair the right of the mortgagee to recover the full amount of the mortgagee's claim.

P. No Benefit To Bailee

We will not recognize any assignment or grant any coverage that benefits a person or organization holding, storing or moving property for a fee regardless of any other provision of this Policy.

Q. Cancellation

1. You may cancel this Policy at any time by returning it to us or by letting us know in writing of the date cancellation is to take effect.
2. We may cancel this Policy only for the reasons stated below by letting you know in writing of the date cancellation takes effect. This cancellation notice may be delivered to you, or mailed to you at your mailing address shown in the Declarations. Proof of mailing will be sufficient proof of notice.
 - a. When you have not paid the premium, we may cancel at any time by letting you know at least 10 days before the date cancellation takes effect.
 - b. When this Policy has been in effect for less than 60 days and is not a renewal with us, we may cancel for any reason by letting you know at least 10 days before the date cancellation takes effect.

- c. When this Policy has been in effect for 60 days or more, or at any time if it is a renewal with us, we may cancel:

- (1) If there has been a material misrepresentation of fact which if known to us would have caused us not to issue the policy; or
- (2) If the risk has changed substantially since the Policy was issued.

This can be done by letting you know at least 30 days before the date cancellation takes effect.

- d. When this Policy is written for a period of more than one year, we may cancel for any reason at anniversary by letting you know at least 30 days before the date cancellation takes effect.
- 3. When this Policy is canceled, the premium for the period from the date of cancellation to the expiration date will be refunded pro rata.
 - 4. If the return premium is not refunded with the notice of cancellation or when this Policy is returned to us, we will refund it within a reasonable time after the date cancellation takes effect.

R. Nonrenewal

We may elect not to renew this Policy. We may do so by delivering to you, or mailing to you at your mailing address shown in the Declarations, written notice at least 30 days before the expiration date of this Policy. Proof of mailing will be sufficient proof of notice.

S. Liberalization Clause

If we make a change which broadens coverage under this edition of our Policy without additional premium charge, that change will automatically apply to your insurance as of the date we implement the change in your state, provided that this implementation date falls within 60 days prior to or during the policy period stated in the Declarations.

This Liberalization Clause does not apply to changes implemented with a general program revision that includes both broadenings and restrictions in coverage, whether that general program revision is implemented through introduction of:

- 1. A subsequent edition of this Policy; or
- 2. An amendatory endorsement.

T. Waiver Or Change Of Policy Provisions

A waiver or change of a provision of this Policy must be in writing by us to be valid. Our request for an appraisal or examination will not waive any of our rights.

U. Assignment

Assignment of this Policy will not be valid unless we give our written consent.

V. Death

If you die, we insure:

- 1. Your legal representatives but only with respect to the property of the deceased covered under the Policy at the time of death;
- 2. With respect to your property, the person having proper temporary custody of the property until appointment and qualification of a legal representative.

W. Nuclear Hazard Clause

- 1. "Nuclear hazard" means any nuclear reaction, radiation or radioactive contamination, all whether controlled or uncontrolled or however caused, or any consequence of any of these.
- 2. Loss caused by the nuclear hazard will not be considered loss caused by fire, explosion or smoke, whether these perils are specifically named in or otherwise included within the Perils Insured Against.
- 3. This Policy does not apply to loss caused directly or indirectly by nuclear hazard, except that direct loss by fire resulting from the nuclear hazard is covered.

X. Recovered Property

If you or we recover any property for which we have made payment under this Policy, you or we will notify the other of the recovery. At your option, the property will be returned to or retained by you or it will become our property. If the recovered property is returned to or retained by you, the loss payment will be adjusted based on the amount you received for the recovered property.

Y. Volcanic Eruption Period

One or more volcanic eruptions that occur within a 72-hour period will be considered as one volcanic eruption.

Z. Loss Payable Clause

If the Declarations shows a loss payee for certain listed insured personal property, that person is considered an insured in this Policy with respect to that property.

If we decide to cancel or not renew this Policy, that loss payee will be notified in writing.

AA. Policy Period

This Policy applies only to loss which occurs during the policy period.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

SPECIAL PROVISIONS – NORTH CAROLINA

DEFINITIONS

The following definitions are added:

"Fungi" means any type or form of fungus, including mold or mildew and any mycotoxins, spores, scents or by-products produced or released by fungi.

Actual Cash Value

Throughout this Policy, the following is added to any provision that uses the term actual cash value:

Actual cash value is the value of the covered damaged part of the property at the time of loss, calculated as the estimated cost to repair or replace such property with material of like kind and quality, less a deduction to account for pre-loss depreciation. In calculating the actual cash value, the components of this estimated cost that are subject to depreciation include, but are not limited to:

1. Materials, labor, permits and any applicable tax; and
2. Overhead and profit.

Pre-loss depreciation refers to the decrease in the value of the covered damaged part of the property due to, but not limited to, such considerations as:

1. Age;
2. Condition, including wear and tear or deterioration;
3. Remaining useful life; and
4. Obsolescence.

COVERAGES

In Basic Coverage Form **DP 00 01**, Paragraph **5. Rental Value** under **E. Other Coverages** is replaced by the following:

5. Rental Value

You may use up to 10% of the Coverage **A** limit of liability for loss of fair rental value as described in Coverage **D**.

Payment under this coverage reduces the Coverage **A** limit of liability by the amount paid for the same loss.

In Broad Form **DP 00 02** and Special Form **DP 00 03**, Paragraph **5. Rental Value And Additional Living Expense** under **F. Other Coverages** is replaced by the following:

5. Rental Value And Additional Living Expense

You may use up to 10% of the Coverage **A** limit of liability for loss of both fair rental value as described in Coverage **D** and additional living expense as described in Coverage **E**.

This coverage is additional insurance.

Under **F. Other Coverages**, Paragraph **6. Reasonable Repairs** is replaced by the following:

6. Reasonable Repairs

- a. In the event that covered property is damaged by a Peril Insured Against, we will pay the reasonable cost incurred by you for necessary measures taken solely to protect against further damage.
- b. If the measures taken involve repair to other damaged property, we will pay for those measures only if that property is covered under this Policy and the damage to that property is caused by a Peril Insured Against.
- c. Coverage provided under **a.** and **b.** does not:
 - (1) Increase the limit of liability that applies to the covered property; or
 - (2) Relieve you of your duties, in case of a loss to covered property, described in Conditions, **D.2. Duties After Loss**; and is limited to the greater of:
 - (3) \$3,000; or
 - (4) 1% of your Coverage **A** limit of liability;unless we grant you approval within 72 hours of your request to exceed the limit. In such circumstance, we will pay only up to the additional amount for the measures we authorize.

If we fail to respond to you within 72 hours of your request to us and the damage is caused by a Peril Insured Against, you may exceed the amount stated above only up to the cost incurred by you for the reasonable repairs necessary to protect the covered property from further damage.

- d. In the event such repairs are undertaken, we have the right to inspect the repairs and the removed property which, to the extent possible, you are required to retain.

(This is Paragraph 6. under E. Other Coverages in Form DP 00 01.)

The following is added under Paragraph F. Other Coverages:

13. "Fungi", Wet Or Dry Rot, Or Bacteria

- a. We will pay up to a total of \$5,000 for:
 - (1) Direct physical loss to property covered under Coverage A – Dwelling, Coverage B – Other Structures and Coverage C – Personal Property caused by, resulting from, or consisting of "fungi", wet or dry rot, or bacteria if the direct result of a Peril Insured Against; and
 - (2) The necessary increase in costs which you incur to maintain your normal standard of living when the Described Location is uninhabitable due to a loss caused by, resulting from, or consisting of "fungi", wet or dry rot, or bacteria which is the direct result of a Peril Insured Against.

The coverage provided above is the only coverage under Coverage A – Dwelling, Coverage B – Other Structures, Coverage C – Personal Property, and, if provided in this Policy, Coverage D – Fair Rental Value and Coverage E – Additional Living Expenses, for damage or loss caused by, resulting from, or consisting of "fungi", wet or dry rot, or bacteria caused directly or indirectly regardless of any other cause or event contributing concurrently or in any sequence.

- b. The \$5,000 limit is the most we will pay for the cost:
 - (1) To remove "fungi", wet or dry rot, or bacteria from covered property;
 - (2) To tear out and replace any part of the building or other covered property as needed to gain access to the "fungi", wet or dry rot, or bacteria; and

- (3) Of any testing of air or property to confirm the absence, presence or level of "fungi", wet or dry rot, or bacteria, whether performed prior to, during or after removal, repair, restoration or replacement. The cost of such testing will be provided only to the extent that there is a reason to believe that there is the presence of "fungi", wet or dry rot, or bacteria.

- c. The coverage provided above applies only when such loss or costs are the result of a Peril Insured Against that occurs during the policy period and only if all reasonable means were used to save and protect the property from further damage at or after the time of the occurrence of that Peril Insured Against.
- d. If there is covered loss or damage to covered property, not caused, in whole or in part, by "fungi", wet or dry rot, or bacteria, loss payment will not be limited by the terms of this Other Coverage, except to the extent that "fungi", wet or dry rot, or bacteria causes an increase in the loss. Any such increase in the loss will be subject to the terms of this Other Coverage.

This is additional insurance and is the most we will pay for the total of all loss or costs payable under this Other Coverage regardless of the number of locations insured or the number of claims made. No deductible applies to this coverage.

(This is Paragraph 9. under E. Other Coverages in Form DP 00 01.)

PERILS INSURED AGAINST

Basic Coverage Form DP 00 01 and Broad Coverage Form DP 00 02 only.

Under 2. **Windstorm Or Hail**, Paragraph b. is replaced by the following:

- b. To the following property when outside of the building, unless specifically shown on Endorsement DP 32 19 or the Declarations:
 - (1) Signs or cloth awnings, including their supports;
 - (2) Radio or television antennas or aerials, including their lead-in wiring, masts or towers;
 - (3) Swimming pools;

- (4) Screens, including their supports, around a swimming pool, patio or other areas;
- (5) Fences, property line and similar walls, including seawalls;
- (6) Bathhouses, cabanas, greenhouses, hothouses, pergolas, slathouses, trellises;
- (7) Outdoor equipment used to service the Described Location;
- (8) Structures located over water, whether or not permanently attached to the ground, including the property in or on the structure; or

Basic Coverage Form **DP 00 01** only.

Under **2. Windstorm Or Hail**, the following paragraph is added:

- c. Caused by frost or cold weather, or ice (other than hail), snow or sleet, whether driven by wind or not.

Broad Coverage Form **DP 00 02** only.

Under **2. Windstorm Or Hail**, the following paragraphs are added:

- c. To lawns, plants, shrubs or trees; or
- d. Caused by frost or cold weather, or ice (other than hail), snow or sleet, whether driven by wind or not.

Special Coverage Form **DP 00 03** only.

Under **B. Coverage C – Personal Property**, Paragraph **2. Windstorm Or Hail** is replaced by the following:

2. Windstorm Or Hail

This peril does not include loss:

- a. To property contained in a building caused by rain, snow, sleet, sand or dust unless the direct force of wind or hail damages the building causing an opening in a roof or wall and the rain, snow, sleet, sand or dust enters through this opening;
- b. To plants, shrubs or trees; or
- c. Caused by frost or cold weather, or ice (other than hail), snow or sleet, whether driven by wind or not.

In Special Coverage Form **DP 00 03**, under **A. Coverage A – Dwelling And Coverage B – Other Structures** and in Endorsement **DP 04 65**, under **Perils Insured Against**, Paragraph **2.c.(8)(c)** is replaced by the following:

- (c) Smog, rust or other corrosion;

GENERAL EXCLUSIONS

Basic Coverage Form **DP 00 01**, Broad Coverage Form **DP 00 02** and Special Coverage Form **DP 00 03**.

Paragraph **8. Intentional Loss** is replaced by the following:

8. Intentional Loss

Intentional loss means any loss arising out of any act you or any person or organization named as an additional insured commits or conspires to commit with the intent to cause a loss.

This exclusion only applies to the person insured who commits or conspires to commit an act with an intent to cause a loss.

(This is Paragraph **A.8.** in Forms **DP 00 01** and **DP 00 03**.)

The following exclusion is added:

10. "Fungi", Wet Or Dry Rot, Or Bacteria

"Fungi", Wet Or Dry Rot, Or Bacteria means the presence, growth, proliferation, spread or any activity of "fungi", wet or dry rot, or bacteria other than as provided in Other Coverage "Fungi", Wet Or Dry Rot, Or Bacteria.

(This is General Exclusion **A.10.** in Forms **DP 00 01** and **DP 00 03**.)

Basic Coverage Form **DP 00 01** only.

Exclusion **B.** is replaced by the following:

- B.** We do not cover loss to lawns, plants, shrubs or trees.

Special Coverage Form **DP 00 03** only.

The following exclusion is added to Paragraph **A.**:

11. Windstorm Or Hail To Certain Property When Outside Of The Building

This exclusion applies to the following property when outside of the building unless specifically shown on Endorsement **DP 32 19** or the Declarations:

- a. Signs or cloth awnings, including their supports;
- b. Swimming pools;
- c. Screens, including their supports, around a swimming pool, patio or other areas;
- d. Fences, property line and similar walls, including seawalls;
- e. Bathhouses, cabanas, greenhouses, hothouses, pergolas, slathouses, trellises;

- f. Outdoor equipment used to service the Described Location; or
- g. Structures located over water, whether or not permanently attached to the ground, including the property in or on the structure.

CONDITIONS

Under D. Duties After Loss:

Paragraph 5.c. is replaced by the following:

- c. Submit to examination under oath, while not in the presence of any other insured under the Policy, and sign the same;

The following is added to the end of Paragraph 6.:

However, if a state of disaster is proclaimed or declared for the State of North Carolina or for an area within the state in accordance with North Carolina law and the covered property that has sustained loss is located within the geographic area designated in the disaster proclamation or declaration, this 60-day period shall not commence until the expiration of the disaster proclamation or declaration, including all renewals of the proclamation or 45 days, whichever is later.

In Broad Coverage Form **DP 00 02** and Special Coverage Form **DP 00 03**, under **E. Loss Settlement**, Paragraph 2.a. is replaced by the following:

- 2. Buildings under Coverage **A** or **B** at replacement cost without deduction for depreciation, subject to the following:

- a. If, at the time of loss, the amount of insurance in this Policy on the damaged building is 80% or more of the full replacement cost of the building immediately before the loss, we will pay the cost to repair or replace, without deduction for depreciation, but not more than the least of the following amounts:

- (1) The limit of liability under this Policy that applies to the building;
- (2) The replacement cost of that part of the building damaged with material of like kind and quality and for like use; or
- (3) The necessary amount actually spent to repair or replace the damaged building on the premises described in the Policy or some other location within the State of North Carolina.

Basic Coverage Form **DP 00 01**, Broad Coverage Form **DP 00 02** and Special Coverage Form **DP 00 03**.

Paragraph **G. Appraisal** is replaced by the following:

G. Appraisal

If you and we fail to agree on the value or amount of any item or loss, either may demand an appraisal of such item or loss. In this event, each party will choose a competent and disinterested appraiser within 20 days after receiving a written request from the other. The two appraisers will choose a competent and impartial umpire. If they cannot agree upon an umpire within 15 days, you or we may request that a choice be made by a judge of a court of record in the state where the dwelling on the Described Location shown in the Declarations is located. The appraisers will separately set the amount of loss. If the appraisers submit a written report of an agreement to us, the amount agreed upon will be the amount of loss. If they fail to agree, they will submit their differences to the umpire. A decision agreed to by any two will set the amount of loss. Each party will:

- 1. Pay its own appraiser; and
- 2. Bear the other expenses of the appraisal and umpire equally.

In no event will an appraisal be used for the purpose of interpreting any policy provision, determining causation or determining whether any item or loss is covered under this Policy. If there is an appraisal, we still retain the right to deny the claim.

(This is Condition **H.** in Form **DP 00 01.**)

Paragraph **J. Suit Against Us** is replaced by the following:

J. Suit Against Us

No action can be brought against us unless there has been full compliance with all of the terms under this Policy and the action is started within three years after the date of loss.

(This is Condition **K.** in Form **DP 00 01.**)

Paragraph **L. Loss Payment** is replaced by the following:

L. Loss Payment

We will adjust all losses with you. We will pay you unless some other person is named in the Policy or is legally entitled to receive payment. We will pay within 60 days after the amount is finally determined.

This amount may be determined by:

- 1. Reaching an agreement with you;
- 2. Entry of a final judgment; or

3. The filing of an appraisal award with us.

(This is Condition **M.** in Form **DP 00 01.**)

Paragraph **T. Assignment** is replaced by the following:

T. Assignment Of Policy Or Policy Benefits

Neither the assignment of this Policy nor the assignment of the benefits of this Policy will be valid unless we give our written consent. This provision applies both before and after a loss.

(This is Condition **U.** in Form **DP 00 01.**)

The following condition is added and applies to all risks located in Protection Class 9, 9E, 9S or 10 in the State of North Carolina:

AA.Vacancy And/Or Unoccupancy (Unprotected Dwellings)

1. Coverage is extended for the described dwelling while it is vacant for not more than 60 consecutive days immediately before the loss; or unoccupied for not more than 90 consecutive days immediately before the loss.
2. If the vacancy or unoccupancy exceeds the respective period stated above, coverage must be extended for an additional period of vacancy and/or unoccupancy by use of Endorsement **DP 32 52**, otherwise all coverage on such dwelling shall be suspended during the period of vacancy or unoccupancy.
3. "Unoccupied" means the dwelling is entirely furnished but with personal habitants temporarily absent, provided the dwelling is secured against intrusion during this period; except as otherwise provided in this Policy for certain specified perils.
4. A building being constructed shall not be considered vacant.

(This is Condition **BB.** in Form **DP 00 01.**)

The following condition is added to Basic Coverage Form **DP 00 01**, Broad Coverage Form **DP 00 02** and Special Coverage Form **DP 00 03**:

BB.Choice Of Law

This Policy is issued in accordance with the laws of North Carolina and covers property or risks principally located in North Carolina. Any and all claims or disputes in any way related to this Policy shall be governed by the laws of North Carolina.

(This is Condition **CC.** in Form **DP 00 01.**)

SPECIAL CONDITIONS

When this Policy insures real property of a condominium association, the following Provisions **1.** through **3.** apply:

1. Under **Conditions, Other Insurance And Service Agreement** is replaced by the following:

Other Insurance And Service Agreement

If, at the time of loss, there is other insurance or a service agreement, in the name of a unit-owner, covering the same property covered by this Policy, this Policy shall provide primary insurance.

2. Under **Conditions**, Paragraph **I. Subrogation**, the following sentence is added:

However, we waive any rights of recovery against a unit-owner or member of the unit-owner's household.

(This is Condition **J.** in Form **DP 00 01.**)

3. An act or omission by a unit-owner, unless acting within the scope of his authority on behalf of the condominium association, will **not** preclude recovery by you under this Policy.

All other provisions of this Policy apply.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

ORDINANCE OR LAW COVERAGE

FORM DP 00 01 ONLY

SCHEDULE*

Total Percentage Amount: 10%

783 NC Highway 33 W Chocowinity, NC 27817-8028

*Entry may be left blank if shown elsewhere in this policy for this coverage.

When you are a tenant of a Described Location covered under this policy, the words 'covered building' used below, refer to property at such a Described Location covered under Other Coverage **3**. Improvements, Alterations and Additions.

1. The amount of ordinance or law coverage determined in **2.** or **3.** below will apply with respect to the increased costs you incur due to the enforcement of any ordinance or law which requires or regulates:
 - a. The construction, demolition, remodeling, renovation or repair of that part of a covered building or other structure damaged by a Peril Insured Against;
 - b. The demolition and reconstruction of the undamaged part of a covered building or other structure, when that building or other structure must be totally demolished because of damage by a Peril Insured Against to another part of that covered building or other structure; or
 - c. The remodeling, removal or replacement of the portion of the undamaged part of a covered building or other structure necessary to complete the remodeling, repair or replacement of that part of the covered building or other structure damaged by a Peril Insured Against.
2. If you are an owner of a Described Location, and that location:
 - a. Is insured for Coverage **A** or Unit-Owner Building Items, the amount of ordinance or law coverage you may use at each Described Location is determined by multiplying the limit of liability that applies to Coverage **A** or Unit-Owner Building Items by the percentage amount shown in the Schedule above; or
 - b. Is not insured for Coverage **A** or Unit-Owner Building Items, the amount of ordinance or law coverage you may use at each Described Location is determined by multiplying the total limit of liability that applies to Coverage **B** by the percentage amount shown in the Schedule.
3. If you are a tenant of a Described Location, the amount of ordinance or law coverage you may use at each Described Location is determined by multiplying the amount of coverage that applies to Improvements, Alterations and Additions by the percentage amount shown in the Schedule.
4. You may use all or part of this ordinance or law coverage to pay for the increased costs you incur to remove debris that results from the construction, demolition, remodeling, renovation, repair or replacement of property as stated in **1.** above.
5. We do not cover:
 - a. The loss in value to any covered building or other structure due to the requirements of any ordinance or law; or
 - b. The costs to comply with any ordinance or law which requires any "insured" or others to:
 - (1) Test for, monitor, clean up, remove, contain, treat, detoxify or neutralize; or
 - (2) In any way respond to, or assess the effects of;

pollutants in or on any covered building or other structure.

Pollutants means any solid, liquid, gaseous or thermal irritant or contaminant, including smoke, vapor, soot, fumes, acids, alkalis, chemicals and waste. Waste includes materials to be recycled, reconditioned or reclaimed.

This coverage is additional insurance.

All other provisions of this policy apply.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

NAMED STORM DEDUCTIBLE – NORTH CAROLINA

SCHEDULE

Described Location	Named Storm Deductible
783 NC Highway 33 W Chocowinity, NC 27817-8028	1%
Information required to complete this Schedule, if not shown above, will be shown in the Declarations.	

A. Definitions

The following definitions are added for purposes of this endorsement only:

1. "National Weather Service" means the National Weather Service including any of its offices, centers or agencies or, if the National Weather Service ceases to exist or ceases to perform the function of issuing warnings, watches or advisories for "named storms", such other entity as may replace it or as determined by the North Carolina Rate Bureau.
2. "Named storm" means a weather-related event involving wind that has been assigned a formal name by the National Hurricane Center, National Weather Service, World Meteorological Association or any other generally recognized scientific or meteorological association that provides formal names for public use and reference. A named storm includes hurricanes, tropical depressions and tropical storms.

B. Named Storm Deductible

The following special deductible is added to the Policy:

1. With respect to the peril of Windstorm or Hail, for any one loss, we will pay only that part of the total of all loss payable resulting from a "named storm" that exceeds the applicable named storm deductible described in Paragraph **B.2.** of this endorsement.
2. The applicable named storm deductible, corresponding to each Described Location stated in the Schedule above, is either:
 - a. The dollar amount shown in the Schedule as the Named Storm Deductible; or

- b. If a percentage is shown in the Schedule, the dollar amount determined by multiplying the:

- (1) Coverage **A**;
- (2) Coverage **B**;
- (3) Coverage **D**; or
- (4) Coverage **E**;

Limit Of Liability shown in the Declarations, whichever is greatest, by the percentage shown as the Named Storm Deductible in the Schedule.

3. The Named Storm Deductible only applies to loss caused by the peril of Windstorm or Hail during the period:

- a. Beginning at the time an advisory, watch or warning for a "named storm" is issued or declared for any part of the state of North Carolina by the "National Weather Service"; and

- b. Ending 24 hours following:

- (1) The termination of the last watch or warning for a "named storm" for any part of North Carolina by the "National Weather Service"; or
- (2) The issuance of the last advisory for a "named storm" for any part of North Carolina by the "National Weather Service";

whichever is later.

4. No other deductible applies to loss caused by the peril of Windstorm or Hail and resulting from a "named storm" during the period described in Paragraph **B.3.** of this endorsement.

5. Refer to the policy Declarations for the deductible that applies to loss caused by the peril of Windstorm or Hail and resulting from a "named storm" other than during the period described in Paragraph **B.3.** of this endorsement.

C. The examples below illustrate how the named storm deductible functions depending on whether a dollar amount or percentage is shown as the Named Storm Deductible.

The examples below are based on a policy in which the Coverage **A** – Dwelling Limit Of Liability shown in the Declarations is \$100,000 and is higher than the Coverages **B**, **D** and **E** limits.

1. If the dollar amount shown as the Named Storm Deductible is \$1,000 and the total of all loss payable is \$10,000, calculate as follows:

$\$10,000 \text{ loss} - \$1,000 \text{ deductible} = \$9,000$

The amount of loss that you would recover is \$9,000.

2. If the percentage shown as the Named Storm Deductible is 2% and the total of all loss payable is \$10,000, calculate as follows:

Step 1: $\$100,000 \times 2\% = \text{deductible of } \$2,000$

Step 2: $\$10,000 \text{ loss} - \$2,000 \text{ deductible} = \$8,000$

The amount of loss that you would recover is \$8,000.

All other provisions of this Policy apply.

INSERT – NORTH CAROLINA

This policy is a legal contract between you and us. The Property Policy is:

- Designed for your easy reference;
- Simplified, to make it more understandable; and
- Arranged to better display the available coverages.

READ YOUR POLICY CAREFULLY

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

PREMISES ALARM OR FIRE PROTECTION SYSTEM – NORTH CAROLINA

We acknowledge the installation of qualified protection devices or systems approved by us on the Described Location. You agree to maintain the devices or systems, for which we have granted a credit, in working order and to let us know promptly of any changes, including removal, made to the device or system.

All other provisions of this policy apply.

COASTAL PROPERTY INSURANCE POOL FAIR PLAN

RN 00 18 06 17

NOTICE OF INFORMATION PRACTICES

We are committed to protecting the privacy and security of the personal information that we collect about applicants and policyholders ("you"). This Notice of Information Practices is intended to help you understand how we collect, handle and safeguard that information.

We treat your personal information confidentially. We do not provide your personal information to non-member companies for the purpose of marketing their products or services to you. We do not disclose any non-public information about you to anyone, except as permitted by law. When you are no longer our customer, we continue to share your information as described in this notice.

INFORMATION COLLECTION — We collect information from you and other sources to enable us to conduct our business, such as to determine eligibility for coverage, to underwrite and rate policies, to issue, service, and bill policies, to investigate and adjust losses, and to settle or defend claims. This information may come from you, your application(s) and other forms related to our products, your conversations with our employees, use of our website and on-line portals, insurance agents, site inspections, investigations, public records and other sources.

The types of personal information that we collect may include:

- Information that you or others provide to us, including your name, address, property address, date of birth, phone number, email address, social security number, federal tax identification number, driver's license number, information about your assets, and other data to enable us to determine eligibility for coverage, service policies, and investigate, adjust, settle or defend claims;
- Transaction and payment information, including information about your premiums, coverage, and payment history;
- Information from inspections, investigations, and prior or current claims history;
- Medical information from you or a third party in connection with liability claims; and
- Credit report information about you or third parties in connection with claims, settlements or otherwise.

Please note that information obtained from reports prepared by an insurance-support organization may be retained by the insurance-support organization and disclosed to other persons.

DISCLOSURE OF INFORMATION — Some disclosures of personal information may be made without your prior authorization. These include disclosures to:

- Other insurance institutions (including member companies), producers/agents, inspectors, auditors, insurance-support organizations, subrogation companies, reinsurance intermediaries, reinsurance companies and other similar insurance industry entities, as it may be reasonably necessary in connection with any application, policy, claim or reinsurance transaction involving you;
- Persons other than insurance institutions, agents or insurance support organizations, such as adjusters, appraisers, investigators and attorneys who reasonably need the information to investigate, adjust, settle or defend a claim involving you;
- Insurance support organizations established to collect information for the purpose of protecting and preventing insurance crimes or fraudulent claims;
- For the purpose of conducting actuarial or research studies (provided that no individual may be identified in the study report);
- To the North Carolina Department of Insurance in connection with its regulatory authority and to other governmental or law enforcement authorities to protect our legal interests or in cases of suspected fraud or improper activities;
- To medical-care institutions or medical professionals, including to verify insurance coverage or benefits in connection with liability claims;

COASTAL PROPERTY INSURANCE POOL FAIR PLAN

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- To the North Carolina Insurance Underwriting Association or North Carolina Joint Underwriting Association, as applicable, for our internal business and administrative purposes, including to administer your policy and for audit purposes;
- To group policyholders, condo association master policies, and co-insureds on multiple owner or rental dwelling policies, including for the purpose of reporting and administering claims or otherwise;
- To the extent your policy is or may be subject to the NCIUA's "Take Out Program," to member companies in connection with that program; and
- As otherwise permitted or required by law.

SECURITY INFORMATION — We maintain policies (including physical, electronic and procedural safeguards) to protect the confidentiality and security of your personal information. We take appropriate measures to ensure that access is available only to those individuals who need to know that information in order to provide or administer our products and services or as otherwise permitted or required by law.

YOUR RIGHT TO ACCESS INFORMATION — You may request access to all personal information which has been collected about you (except for certain information regarding claims and lawsuits). If you believe that any of this information is incorrect, you may request that we correct your file by sending a written request to the address listed below. To obtain access to your personal information or to request a correction to your file, please send a written request to: General Manager, North Carolina Joint Underwriting Association/North Carolina Insurance Underwriting Association, Post Office Box 8009, Cary, North Carolina, 27512.

ADVISORY NOTICE TO POLICYHOLDERS RESIDENTIAL WINDSTORM MITIGATION CREDITS AVAILABLE

The Association now has three main categories of credits available for certain wind mitigation features of a dwelling for policies effective May 1, 2011 or later.

Hip Roof: This is a roof style and construction that forms a triangle and is slanted on all sides. Proof of roof type is verified by multiple photographs submitted to the Association by your Producer (Agent) for the credit to apply.



Opening Protection Features: Building opening protective features must have been certified as having met the large Missile Test (Missile D) of the American Society for Testing and Material ASTM E 1886 (standard test method) and ASTM E 1996 (standard specification or other standards that are determined to be equivalent, including the American Architectural Manufacturers Association (AAMA), AAMA 506 or the Florida Building Code Testing Application Standards TAS 201 and 203. Such protective features shall be considered qualified.

Qualifications Include:

- All exterior building envelope openings (doors, windows, etc.) with glazing (glass) shall have qualified impact-resistant and wind pressure-resistant opening protection
- All exterior building envelope openings (doors, windows, etc.) without glazing (glass) shall have qualified wind pressure-resistant opening protection
- All garage doors (with or without glass) shall meet or exceed a qualified minimum pressure resistance

Opening protection must be installed by a qualified contractor, according to the manufacturer's specifications, and impact-resistant protective devices must not be made of wood structural panels, such as OSG or plywood, or be homemade.

IBHS Hurricane Fortified for Safer Living and IBHS Hurricane Fortified for Existing Homes:

The Institute for Business and Home Safety (IBHS) has promulgated four main discounts:

- FORTIFIED for Safer Living
- FORTIFIED Roof – Hurricane Existing Roof or New Roof
- FORTIFIED Roof – Hurricane – Silver Existing Roof or New Roof
- FORTIFIED Roof – Hurricane – Gold Existing Roof or New Roof

The Policyholder must submit a copy of the proper designation certificate from IBHS in order to qualify for the applicable credit. Certain certifications require reinspection by IBHS every five years in order for the designation and credit to continue. Your Producer (Agent) can assist you with the contact information for the inspection and submission of the IBHS Certification to the Association for approval of the credit.

Windstorm Mitigation Credits will vary by the type of feature present on the dwelling. The Hip Roof and Opening Protection credit may be combined for additional credit, but no other type credits may be taken in combination, such as IBHS and Hip Roof. The credit, if applicable, would be reflected in your final policy premium determined on the policy declaration, and shown in the endorsement section of the policy.

These discounts are not available to Condominium Unit Owners Policies, Renters Policies, Dwellings Under Construction, and certain Mobile Homes.

If you would have any questions, please contact your Producer (Agent) of the policy with the Association as shown on your policy declaration.